EXECUTIVE SUMMARY

1. Introduction

The Municipality of Langgangan, now Sta. Praxedes, Cagayan was formally established when it became a township of Cagayan Valley by virtue of Executive Order No. 65 of Governor Leonard Wood on November 11, 1922. It was renamed Sta. Praxedes in 1977 by virtue of Republic Act No. 1449.It consists of ten (10) barangays with a total land area of 110 sq. km. It is classified as a fifth class municipality.

The audit covered the accounts and operations of the Municipal Government of Sta. Praxedes, Cagayan for the year 2015 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Sta. Praxedes for the year ended December 31, 2015, with comparative figures for CY 2014, are as follows:

	2015	2014	Increase (Decrease)
Financial Condition			
Total Assets	P 41,613,027.05	P 32,348,779.09	P9,264,247.96
Total Liabilities	14,732,987.27	1,961,732.36	12,771,254.91
Total Government Equity	26,880,039.78	25,134,962.94	1,745,076.84
Results of Operation			
Total Income	P 43,668,723.14	P 37,701,675.71	P 5,967,047.43
Total Expenses	37,029,649.36	35,076,211.33	1,953,438.03
Appropriations, Allotments and Obligations			
Appropriations	P 41,372,593.00	P 40,708,850.00	P 663,743.00
Allotments	41,372,593.00	40,708,850.00	663,743.00
Obligations	36,691,169.53	36,144,475.53	546,694.00

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

	2015	2014	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	304,676.00	0.00	304,676.00
Due from GOCCs	0.00	0.00	0.00
Due from LGUs	16,660.22	0.00	16,660.22
Due from NGOs/POs	0.00	0.00	0.00
TOTAL	321,336.22	0.00	321,336.22
Fund Received from Other Agencies:			
Due to Other NGAs	P 7,640,166.08	P 9,962,460.00	P (2,322,293.92)
Due to LGUs	1,347,871.41	3,851,481.54	(2,503,610.13)
Due to NGOs/POs	0.00	0.00	0.00
TOTAL	**P 8,988,037.49**	**P 13,813,941.54**	**P (4,825,904.05)**

3. Independent Auditor's Report on the Financial Statements

The auditor rendered an unqualified opinion on the presentation of the financial statements of the municipality of Sta. Praxedes as of December 31, 2015.

4. Summary of Significant Findings and Recommendations

The audit team noted the following audit observations with its recommendations to improve the performance and financial operations of the municipality;

1. **The payment of the 2015 Productivity Enhancement Incentive (PEI) to the municipal officials and employees amounting to P974,708.00 was not in accordance with Executive Order No. 181, s. 2015 and Section 325 of R. A. 7160.**

   We recommended that the Municipality prepare budget in accordance with Section 325(a) of R. A. 7160 and Local Budget Circular (LBC) 98 to ensure that the Local Government Unit operates within its appropriation, adequate funds are allocated for the delivery of basic services and development projects, and to avoid incurrence of excess expenditures against appropriation. Accordingly, officials and employees concerned are required to refund.

2. **The timely review, verification and settlement of accounts, financial statements and other financial reports was not made due to the failure of the municipality to submit said accounts and reports within the prescribed period contrary to COA Circular No. 2009-006 dated September 15, 2009 and Section 39(1) & (3) of Presidential Decree (PD) No. 1445.**

We recommended that the Municipal Accountant to submit the required reports on or before the set deadline to give the auditors an opportunity to conduct timely verification of accounts and to avoid administrative sanctions and/or disallowance of the accounts as provided for under Section 39(1) & (3) of PD 1445.

3. **The General Service Department (GSD) failed to submit copies of government contracts, purchase orders, and their supporting documents within the prescribed date as required under COA Circular No. 2009-001 dated February 12, 2009, thereby, precluding the Audit team in conducting timely evaluations and review of such documents and consequently, the delayed communication of corrective measures to management.**

   We recommended that the General Services Officer (GSO) strictly comply with the submission of copies of Purchase Orders/Contracts within five (5) working days from issuance/execution, in compliance with COA Circular 2009-001 dated February 12, 2009.

4. **Real Property Tax and Special Education Tax Receivables totaling P2,314,371.31 had remained uncollected and outstanding in the books of accounts, hence depriving the municipality of additional resources to support its various projects, programs and activities.**

   We recommended that the Local Chief Executive, as well as the Sangguniang Bayan Members, adopt measures to collect from delinquent taxpayers, strengthen and intensify collection system and tax campaign to eliminate and minimize tax delinquencies, and consequently generate additional revenues for the Municipality.

5. **Cash advances for payroll amounting to P20,935.23 as of December 31, 2015 remained unliquidated contrary to Section 89 of PD 1445 and COA Circular No. 97-002 dated February 10, 1997.**

   We recommended that the Municipal Treasurer liquidate immediately the amount of P20,935.23 representing payroll fund as of December 31, 2015. Likewise, strictly follow the rules and regulations on the granting, utilization and liquidation of cash advances pursuant to Section 89 of P. D. 1445 and COA Circular No. 97-002 dated February 10, 1997.

6. **Payment for the salaries, wages and honorarium amounting to P1,953,150.63 were improperly charged against the 20% Development Fund, contrary to Joint Memorandum Circular No. 2011-1 dated April 13, 2011 of the DILG and DBMthus, depriving the constituents of the**

Municipality of the immediate benefit that could be obtained from the mandated developmental programs and projects.

We recommended that the Local Chief Executive and other concerned officials ensure that the 20% Development Fund shall be spent solely for its specific/intended purpose and to adhere strictly with the provisions of Joint Memorandum Circular No. 2011-1 dated April 13, 2011 of the DILG and DBM to avoid disallowances in audit pursuant to Item No. 12, Annex B of COA Circular No. 2012-003 dated October 29, 2012 or the Guidelines for the Prevention and Disallowance of Irregular, Unnecessary, Excessive, Extravagant and Unconscionable Expenditures.

7. **The hiring of a monthly average of forty-six (46) job order personnel was not based on actual service needed per existing organizational structure and staffing pattern but on the availability of funds, which may result to excessive workforce, work duplication and eventual waste of financial resources.**

   We recommend management to assess its existing organizational structure so that the ideal number of plantilla personnel will be established, thereby, avoiding the hiring of excessive number of job order employees. We further recommended that the hiring of job order personnel be based on necessity of the services needed and not based on the availability of funds.

5. Summary of Total Suspensions, Disallowances and Charges as of year-end

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	360,000.00	0.00	360,000.00	0.00%
Total	0.00	0.00	0.00	0.00	0.00%
Disallowances					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	0.00	0.00	0.00	0.00	0.00%
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	0.00	0.00	0.00	0.00	0.00%

6. Status of Implementations of Prior Years' Audit Recommendations

Out of eleven (11) audit recommendations in 2014 Annual Audit Report (AAR), three (3) were fully implemented, one (1) was partially implemented, and seven (7) were not implemented. The Status of Implementation of Prior Year's Audit Recommendations is shown in Part III of this report.